

Gaps. Gaps help performance in both bull and bear markets. The performance difference is not high, so don't lose any sleep over it. However, because I use the opening price the day *after* the gap in the measure to the ultimate high, you don't need to own the stock before the gap to participate in the better performance.

Number of dual bumps. A second bump occurs about 11% to 12% of the time according to a study I conducted. [Figure 14.4](#) shows a good example of a multiple-bump BARR. The first bump completes in mid-August 1993 when price touches the down-sloping trendline. If you purchased the stock at any time during creation of the first bump, you would have been toast. From the high of 22.75 on 19 August, the stock declined to 17.38 on 1 October, nearly a 25% drop.

After that, it was all uphill. The stock moved up smartly and crested at 28.50 in mid-January 1994. From the bump low, that was a 64% move and a 33% rise from the breakout.

The figure imparts a valuable lesson: Consider waiting for the upward breakout before buying into a BARR. Not surprisingly, this lesson applies to many chart pattern types, not just the BARR bottom.

The dual bump is unusual in that the second bump bottoms lower than the first. As mentioned, dual bumps are rare. Of course, that is scant comfort if you already bought into a situation and price begins declining again during the second bump.